

Aravalli Mobility Pvt Ltd

SOP-SC-014: Supply Disruption Response

Owner: Head of Supply Chain Management · Version: 3.2 · Applies to: Manesar plant, all direct-material categories. Effective: 2026-10-01 · Supersedes: none.

Section 1 - Purpose and Scope

1.1 This SOP defines the mandatory steps when an external event (port congestion or closure, extreme weather, geopolitical tension, sanctions, supplier force majeure) threatens inbound supply of direct materials.

1.2 Every automated or manual action taken under this SOP must cite the clause that authorises it.

Section 2 - Severity Classification

Level	Definition	Response window
L1 - Watch	Expected delay under 7 days, or event not yet confirmed by two independent sources.	Monitor; re-assess within 24 h. No RFQ.
L2 - Material	Expected delay of 7 to 21 days on a named port, lane or supplier.	RFQ trigger test (Section 3) within 8 h.
L3 - Critical	Expected delay over 21 days, port closure beyond 21 days, blockade, export ban, or supplier force majeure notice.	RFQ trigger test within 4 h; contingency plan mandatory.

2.2 Where the delay is uncertain, the analyst must use the upper end of the credible estimate (conservative planning principle).

2.3 An event is confirmed only when two independent sources report it. An unconfirmed event is classed L1 and no RFQ is raised.

Section 3 - RFQ Trigger Rule

3.1 For each affected part compute days of cover = on-hand quantity / daily consumption.

3.2 An RFQ to an approved backup supplier is mandatory when: days of cover < projected delay (days) + 5-day safety buffer.

3.3 Shortfall units = (projected delay + 5 - days of cover) x daily consumption. RFQ quantity = shortfall units x 1.2, rounded up to the nearest multiple of the backup supplier's MOQ.

3.4 RFQs may only be issued to suppliers listed as APPROVED_BACKUP for that part in the ERP and marked APPROVED on the Approved Vendor List (Vendor Contracts document, Schedule A). CONDITIONAL suppliers require Head of SCM sign-off before an RFQ is released.

3.5 For L3 events affecting a critical part, RFQs must go to at least two approved backups where two exist.

3.6 Parts whose days of cover are equal to or above projected delay + 5 days are placed on part watch status (not an event severity); no RFQ is raised.

Section 4 - Contingency Measures

4.1 Expedited freight: Air freight may be authorised for critical parts when the freight premium is below 15% of the affected PO value. The premium is taken from the carrier quote supplied by the buyer; if no quote is available, record freight quote required and do not estimate.

4.2 Safety stock uplift: During any active L2 or L3 event the safety stock target for affected parts is raised by 30% until the event is closed.

4.3 Re-routing: For port-specific events, the buyer shall request the primary supplier to re-route via an alternate export port (e.g. Kaohsiung to Keelung, or trans-shipment via Singapore) before cancelling open POs.

4.4 Open POs: Open POs with the disrupted supplier are not cancelled; they are placed on HOLD-REVIEW and re-dated.

4.5 Production protection: If projected stock-out falls within 7 days, Production Planning must be notified to re-sequence builds toward models not using the affected part. Notification is also required when the projected stock-out falls before the earliest backup supplier can deliver (clause 4.7).

4.6 Capacity shortfall: If a backup supplier's monthly capacity is below the RFQ quantity, the buyer must combine the RFQ with measures 4.1 or 4.3 for the balance.

4.7 Lead time check: If a backup supplier's standard lead time is longer than the part's days of cover, the RFQ must be combined with measure 4.1, and the action record must state the expected stock-out gap in days (lead time minus days of cover).

Section 5 - Approval Matrix

5.1 Approval is based on the total estimated value of all RFQs raised in one action record.

Total estimated RFQ value (INR)	Approving authority
Up to 25,00,000	Operations Manager - Procurement
25,00,001 to 1,00,00,000	Head of Supply Chain Management
Above 1,00,00,000	Chief Financial Officer

Section 6 - Communication and Records

6.1 The Operations Coordinator must publish an action record (RFQ or contingency plan) to the procurement workflow system within the response window of Section 2.

6.2 The record must include: severity level, affected parts, days of cover, projected delay, shortfall, supplier chosen, quantity, approving authority and policy citations.

6.3 Records are retained for 7 years for audit.